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Study Notes

Industrial Policy

Introduction

Industrial Policy is the procedures, principles, policies, rules and regulations which control the industries of the country and it also determines the pattern of industrialization. It also refers to Government action to influence the ownership & structure of the industry and its performance. It takes the form of paying subsidies or providing finance in other ways, or of regulation.

It includes procedures, principles (i.e., the philosophy of a given economy), policies, rules and regulations, incentives and punishments, the tariff policy, the labour policy, government's attitude towards foreign capital, etc.

Indian Industrial Policies during the pre-reform period i.e., before 1991 emphasised on the state intervention in the field of industrial development. However, liberalisation measures were carried out after 1991 LPG reforms.

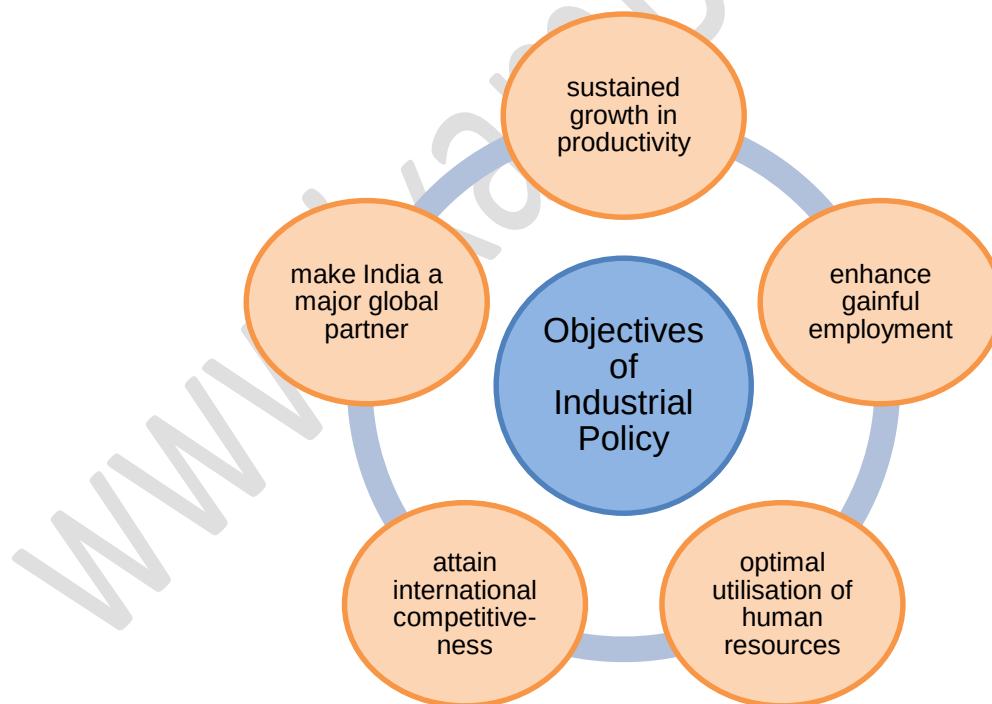


Figure 1: Main Objectives of Industrial policy

Fourth Industrial Revolution in India

- Building on the foundation given by the third Industrial Revolution, the **fourth Industrial Revolution (Industry 4.0)** is moving from an electronic based industry to a process which is the combination of **human beings and electronics**.
- It includes cyber-physical systems, the Internet of things, big data analytics, cloud computing, cognitive computing, artificial intelligence, 3-D printing, and autonomous vehicles etc.
- The best example would be processed artificial intelligence has broken the distinction between the Man, The Machine and Intelligence.

Reskilling Revolution initiative

On January 22, 2020, India joined Reskilling Revolution initiative of World Economic Forum as a founding member.

Founding Members	Business Partners	Objectives
• India • US • UAE • Russia • France • Brazil • Pakistan	• PwC • Salesforce • Manpower Group • Infosys • LinkedIn (data partner) • Coursera Inc. • The Adecco Group	• providing better education, jobs and skills for more than 1 billion people in the world by 2030 • help economies adapt to changes being introduced by Industry 4.0 by providing new skills required for the Industry 4.0

Indian Industrial Policy

Industrial Policy Resolution of 1948

- The first industrial policy after independence was announced on 6th April 1948.
- This policy aimed to accelerate the industrial development by introducing a mixed economy where the private and public sector was accepted as important in the development of the economy.
- It set Indian economy in socialistic patterns.
- The large industries were classified into four categories under this policy statement
 - Industries with exclusive State Monopoly (Strategic industries) -These included industries engaged in the activity of atomic energy, railways and arms and ammunition.
 - Industries with Government control-This category included industries which are of national importance. 18 such categories were mentioned such as fertilizers, heavy machinery, defense equipment, heavy chemicals, etc.
 - Industries with Mixed sector-This category included industries that were allowed to operate independently in private or in public sector. The government was allowed to review the situation to acquire any existing private undertaking in such category.

- Industry in the Private sector-Industries which were not mentioned in the any of the above categories fall into this category. High importance was granted to small businesses and small industries, leading to the utilization of local resources and employment generation.
- Hence, the resolution accepted the importance of both private and public sectors for the development of the industrial sector.

Industrial Policy Resolution 1956

- This second industrial policy was announced on April 20, 1956.
- Main objectives of the resolution are listed below:
 - To accelerate the rate of growth and to speed up the pace of Industrialization
 - To develop heavy industries and machine making industries
 - Expansion of Public Sector
 - To reduce disparities in Income and Wealth
 - Development of a competitive Cooperative Sector
 - To Prevent concentration of Business in few hands and Restriction in Creation of Monopolies
- This resolution divided industries into three categories:
 1. Schedule A industries: These industries were under the monopoly of the state. It included 7 industries. The private sector was also introduced in these industries only if national interest required
 2. Schedule B industries: In this category of industries, the state was allowed to establish new units but the private sector was also permitted to set up or expand existing units e.g., chemical industries, fertilizer, synthetic, rubber, aluminium etc
 3. Schedule C industries: All the industries that were not a part of the above-mentioned industries then it formed a part of Schedule C industries
- Hence, it emphasized on the mutual dependence and existence of the public and private sectors. The only 4 industries in which private sector are not allowed were Arms & Ammunition, Railways, Air Transport and Atomic Energy. In all other sector, either private sector was allowed to operate freely or will provide help to the government sector as and when needed.

Indian Policy Statement, 1973

- Indian Policy Statement of 1973 identified high priority industries where investment from large industrial houses and foreign companies were permitted.
- Large industries were permitted to start operations in rural and backward areas for developing those areas and enabling the growth of small industries around.
- Main features of Indian Policy Statement were:
 - It was directed towards removing the distortions, it provided for closer interaction between agriculture and industrial sector
 - The list of industries reserved for the small-scale sector was expanded under the policy
 - Special legislation to protect cottage and household industries were introduced.

Indian Policy Statement 1977

In December 1977, the Janata Government announced its New Industrial Policy through a statement in the Parliament.

- The main thrust of this policy was the effective promotion of cottage and small industries widely dispersed in rural areas and small towns.
- In this policy the small sector was classified into three groups—cottage and household sector, tiny sector and small scale industries.
- The 1977 Industrial Policy prescribed different areas for large scale industrial sector- Basic industries, Capital goods industries, High technology industries and Other industries outside the list of reserved items for the small scale sector.
- The 1977 Industrial Policy restricted the scope of large business houses so that no unit of the same business group acquired a dominant and monopolistic position in the market.
- It put emphasis on reducing the occurrence of labour unrest. The Government encouraged the worker's participation in management from shop floor level to board level.
- Criticism: The industrial Policy 1977, was subjected to serious criticism as there was an absence of effective measures to curb the dominant position of large scale units and the policy did not envisage any socio-economic transformation of the economy for curbing the role of big business houses and multinationals.

Industrial Policy of 1980

It sought to promote the concept of economic federation, to raise the efficiency of the public sector and to reverse the trend of industrial production of the past three years and reaffirmed its faith in the Monopolies and Restrictive Trade Practices (MRTP) Act and the Foreign Exchange Regulation Act (FERA).

New Industrial Policy During Economic Reforms of 1991

- The industrial policies pursued in India till 1990 enabled India to develop a vast and a diversified industrial structure.
- India also attained self-sufficiency in a wide range of consumer goods.
- However, the industrial growth was not rapid enough to generate sufficient employment, to reduce regional disparities and to alleviate poverty.
- Government controls and regulations had put shackles on the growth of different segments of Indian Industry.
- Along With that, lack of adequate competition resulted in inadequate emphasis on the reduction of costs, up-gradation of technology and improvement of quality standards.
- Hence, on July 24, 1991, government announced its new industrial policy with an aim to correct the distortion and weakness of the Industrial Structure of the country that had developed in 4 decades; raise industrial efficiency to the international level; and accelerate industrial growth.
- The context of huge fiscal deficits, crisis in the balance of payment situation, falling foreign exchange reserves and conditions imposed by IMF led to the announcement of the New Economic Policy by the government in 1991.

- New Industrial Policy comes at the centre of economic reforms that launched during the early 1990s. All the later reform measures were derived out of this new industrial policy.
- “Industrial Policy 1991” is also known as “Open Industrial Policy”, because it contains several revolutionary schemes and plans for the economy.

Objectives

- To consolidate and improve upon the strength gained during the four decades of economic planning over 1951-91
To correct the distortions and weaknesses that had crept into the industrial structure. These were low productivity and high-cost production
- To improve and maintain sustained growth in industrial productivity with gainful employment creation in the country
- To have international competitiveness
- To encourage foreign assistance and co-partnership in every aspect
- To make the Public Sector more competitive, efficient and productive
- To increase exports and facilitate imports also
- To move towards higher economic growth rate and build sufficient foreign exchange reserves
- To achieve economic stabilization and convert the economy into a market economy

Features of New Industrial Policy

- **Industrial delicensing policy**—It ended the industrial licensing or the license raj or red tapism. Under the industrial licensing policies, private sector firms had to secure licenses to start an industry. This has created long delays in the starting up new industries. The industrial policy of 1991 has almost abandoned the industrial licensing system by leaving only 13 sectors which needed license for starting an industrial operation.
- **De-reservation of the industrial sector**—Earlier, the public sector has given reservation especially in the capital goods and key industries. Under industrial deregulation, most of the industrial sectors were opened to the private sector as well. Under this new industrial policy, only three sectors—atomic energy, mining and railways will continue as reserved for public sector. All other sectors have been opened for private sector participation.
- **Public sector enterprises reforms**: Reforms in the public sector were introduced to enhance efficiency and competitiveness of the sector. Also, loss making PSUs were sold to the private sector. The government has adopted disinvestment policy for the restructuring of the public sector and at the same time autonomy has been given to PSU boards for efficient functioning.
- **Foreign investment policy**: Another major feature of the economic reform was the opening up to foreign investment and foreign technology. This enhanced the industrial competition and improved business environment in the country. Foreign investment including

Table: Year wise FDI inflow since 2014-15

Sl. No.	Year	FDI (in US\$ billion)
1	2014-15	45.15
2	2015-16	55.56
3	2016-17	60.22
4	2017-18	60.97
5	2018-19	62.00
6	2019-20 (P)	74.39
7	2020-21 (P)	81.72

FDI and FPI were allowed by the government.

- **Abolition of MRTP Act:** The New Industrial Policy of 1991 has abolished the Monopoly and Restricted Trade Practice Act. Later on the Competition Commission was founded in 2003 as the watchdog in monitoring competitive practices in the economy under The Competition Act, 2002.
- **Localization Policy:** Industries situated in cities having population less than 1 million, industrial permission from the government, to start any industry was not required. Also In cities having population of more than 1 million, with the exception of electronics and other pollution free industries, all industrial units to be 25 kilo meters away from the city's boundary.
- **Devaluation:** The first step towards globalization was taken with the announcement of the devaluation of Indian currency by 18-19 % against major currencies in the international foreign exchange market. In fact, this measure was taken in order to resolve the BOP crisis of economy.
- **Reduction of the Peak Customs Tariff:** It came down from over 300 per cent prior to the 30 per cent rate. This was necessary to liberalize the international trade.
- **Wide-ranging Financial Sector Reforms:** In the banking, capital markets, and insurance sectors several reforms were initiated including the deregulation of interest rates, strong regulation and supervisory systems, and the introduction of foreign/private sector competition.

Effects of New Industrial Policy

- There have been revolutionary changes in Indian Economy since the introduction of new economic strategy in 1991.
- India improved its status in the arena of Research and innovation post New Industrial policy. As an open economy India faced competition from MNCs which necessitated investment in R&D.
- It made Licence, Permit and Quota Raj a thing of past. The process of liberalization is still continuing.
- The process of disinvestment in PSUs started post New Industrial Policy only.
- Increased competition led to lower prices in many goods such as electronics prices.
- The policy was followed by special efforts to increase exports. Concepts like Export Oriented Units (EOU), Export Processing Zones (EPZ), Agri-Export Zones (AEZ), Special Economic Zones (SEZ) and lately National Investment and Manufacturing Zones (NIMZ) emerged. All these have benefitted the export sector of the economy.
- If we were to evaluate the reform process in the Indian economy over the last two decades or so, the results have been dramatic.
- The abolition of industrial licensing, dismantling of price controls, dilution of reservations for small-scale industries and virtual abolition of the monopolies law, relaxation of restrictions on foreign investment, lowering of corporate and personal tax rates, removal of restrictions on managerial remuneration, etc. were very bold steps all of which have enabled Indian industries to blossom.

Initiatives for Startups

- India had declared **2010-20** as the **Decade of Innovation**.

- The Government has stressed the need to vocalize a policy to synergies science, technology and innovation and has also **established the National Innovation Council (NIC)**.
- **Measures proposed** to benefit the Start-ups include:
 - digital platform for seamless application and capture of IPRs,
 - Knowledge Translation Clusters to be set up across different technology sectors including new and emerging areas
 - Harboring test beds and small scale manufacturing facilities to be established for designing, fabrication and validation of proof of concept, and further scaling up Technology Clusters

I. Tax and funding related

a) **Taxation of ESOPs**

- Start-ups generally use Employee Stock Option Plan (ESOP) to attract and retain highly talented employees.
- Currently ESOPs are taxable as perquisites at the time of exercise.
- In order to give a boost to the start-up ecosystem, it has been proposed to ease the burden of taxation on the employees by **deferring the tax payment for five years or till they leave the company or when they sell their shares**, whichever is earliest.

b) **Funding**

- Proposal to provide early life funding including seed funding to support ideation and development of early stage start-ups is welcomed.

c) **Intellectual Property (IP)**

- The budget emphasized on the need to promote and encourage Startups to make use of IP ecosystem to protect their innovations.
- Proposal to create a digital platform was announced to offer seamless application process for protection of IP.
- In addition, a center would be setup to work on the complexity and innovation in the field of Intellectual Property.

d) **Relaxation in availing tax holiday**

- The **turnover limit for eligible startups to claim 100% deduction** from profits under section 80-IAC has been **increased from existing INR 25 crore to INR 100 crore**
- The period for claiming deduction has also been **extended from 7 years to 10 years**.
- These announcements are in line with NASSCOM suggestion to Ministry of Finance (MoF).

II. Creation of a Credit Guarantee Fund for MUDRA loans and to convert MUDRA Ltd. into MUDRA (SIDBI) Bank as a wholly owned subsidiary of SIDBI

- Establishment of Credit Guarantee Fund for MUDRA Units (CGFMU) for guaranteeing loans sanctioned under Pradhan Mantri Mudra Yojana with effect from 8th April, 2015 with the objective to reduce the credit risk to Banks / NBFCs / MFIs / other financial intermediaries, who are Member Lending Institutions (MLIs).
- The Fund is expected to guarantee more than Rs.1,00,000 crore worth of loans to micro and small units in the first instance.
- The **National Credit Guarantee Trustee Company Ltd. (NCGTC Ltd.)**, a wholly-owned company of Government of India, constituted under the Companies Act, 1956 (2013) to manage and operate various credit guarantee funds, shall be the Trustee of the Fund.
- The guarantee would be provided on portfolio basis to a **maximum extent of 50% of amount in default** in the portfolio.
- The MUDRA (SIDBI) Bank will undertake refinance operations and provide support services with focus on portal management; data analysis etc. apart from any other activity entrusted/ advised by Government of India.

FDI-Recent

Investment climate in India has improved considerably since the opening up of the economy in 1991. This is largely attributed to ease in FDI norms across sectors of the economy.

Automatic route- Under the Automatic Route, the non-resident investor or the Indian company does not require any approval from Government of India for the investment

Government route-Under the Government Route, prior to investment, approval from the Government of India is required. Proposals for foreign investment under Government route, are considered by respective Administrative Ministry-Department.

It is the intent and objective of the Government of India to attract and promote foreign direct investment in order to supplement domestic capital, technology and skills, for accelerated economic growth.

Prohibited sectors (FDI Policy as of August 2021)

- Lottery Business including Government/private lottery, online lotteries, etc.
- Gambling and Betting including casinos etc.
- Chit fund
- Nidhi company
- Trading in Transferable Development Rights
- Real Estate Business or Construction of Farm House
- Manufacturing of cigars, cheroots, cigarillos and cigarettes, of tobacco or of tobacco substitutes
- Activities/sectors not open to private sector investment e.g.(I) Atomic Energy and
- (II) Railway operations (other than permitted activities)
- Legal, accounting and architecture services
- B2C e-commerce

Permitted sectors FDI is permitted up to 100% on the automatic route in majority cases. Few exceptions are as below:

- Defence industry and Manufacturing of small arms and ammunition under the Arms Act, 1959- Automatic up to 49% , Government route beyond 49% wherever it is likely to result in access to modern technology or for other reasons to be recorded
- Terrestrial Broadcasting FM(FM Radio)- 49 % government route
- Up-linking of 'News & Current Affairs' TV Channels- 49% government route
- Publishing of newspaper and periodicals dealing with news and current affairs- 26% government route
- Publication of Indian editions of foreign magazines dealing with news and current affairs- 26% government route
- Publishing/printing of scientific and technical magazines- 100% government route
- Air Transport Service- up to 49 automatic route beyond that government route
- Satellites- establishment and operation, subject to the sectoral guidelines of Department of Space/ISRO-100% government route
- Private security agencies-Up to 49% automatic route beyond that government route
- Telecom services- Upto 49% automatic beyond that government route
- Single brand product retail- up to 49% automatic beyond that government route
- Multi brand retail trading- 51% government

Disinvestment

Disinvestment means sale or liquidation of assets by the government, usually Central and state public sector enterprises, projects, or other fixed assets.

The government undertakes disinvestment to reduce the fiscal burden on the exchequer, or to raise money for meeting specific needs, such as to bridge the revenue shortfall from other regular sources.

The Indian Government started the process of disinvestment in 1991 itself. In 1997 the government did set up a Disinvestment Commission to advice upon the various aspects of the disinvestment process.

The financial year 1999–2000 saw a serious attempt by the government to make disinvestment a political process to expedite the process of disinvestment in the country—first a Disinvestment Department and later a full-fledged Ministry of Disinvestment was set up (dismantled in 2004).

Token Disinvestment

It is otherwise known as “Minority Stake Sale”. The general policy was to sell the shares of the PSUs maximum up to the 49 per cent (i.e., maintaining government ownership of the companies). But in practice, shares were sold to the tune of 5–10 per cent only. This phase of disinvestment though brought some extra funds to the government.

Strategic Disinvestment

Strategic disinvestment is the transfer of the ownership and control of a public sector entity to some other entity (mostly to a private sector entity). Unlike the simple disinvestment, strategic sale implies a kind of privatization. The government classifying the PSUs into ‘strategic’ and

'non-strategic' announced in March 1999 that it will generally reduce its stake (shareholding) in the 'non-strategic' public sector enterprises (PSEs) to 26 per cent or below if necessary and in the 'strategic' PSEs (i.e., arms and ammunition; atomic energy and related activities; and railways) it will retain its majority holding. There was a major shift in the disinvestment policy from selling small lots of share in the profit-making PSUs (i.e., token disinvestment) to the strategic sale with change in management control both in profit and loss-making enterprises.

Management of Public Assets

The disinvestment commission defines strategic sale as the sale of a substantial portion of the Government shareholding of a central public sector enterprises (CPSE) of upto 50%, or such higher percentage as the competent authority may determine, along with transfer of management control.

The Department of Investment and Public Asset Management (DIPAM) under the Ministry of Finance is the nodal department for the strategic stake sale in the Public Sector Undertakings (PSUs).

Strategic disinvestment in India has been guided by the basic economic principle that the government should not be in the business to engage itself in manufacturing/producing goods and services in sectors where competitive markets have come of age.

The economic potential of such entities may be better discovered in the hands of the strategic investors due to various factors, e.g., infusion of capital, technology up-gradation and efficient management practices etc.

Micro, Small and Medium Enterprises

All over the world, MSMEs have been accepted as the engine of economic growth and for promoting equitable development. They constitute almost 90% of total enterprises in most of the economies and are credited with generating the highest rates of employment growth.

With low investment requirements, operational flexibility and the capacity to develop appropriate indigenous technology, SMEs have the power to propel India to new heights.

Hence, it seems like there is a silent revolution happening in India powered by MSMEs.

Importance

Employment: It is the second largest employment generating sector after agriculture. It provides employment to around 120 million persons in India.

Contribution to GDP: With around 36.1 million units throughout the geographical expanse of the country, MSMEs contribute around 6.11% of the manufacturing GDP and 24.63% of the GDP from service activities. MSME ministry has set a target to up its contribution to GDP to 50% by 2025 as India becomes a \$5 trillion economy.

Exports: It contributes around 45% of the overall exports from India.

Inclusive growth: MSMEs promote inclusive growth by providing employment opportunities in rural areas especially to people belonging to weaker sections of the society. For example: Khadi

and Village industries require low per capita investment and employs a large number of women in rural areas.

Financial inclusion: Small industries and retail businesses in tier-II and tier-III cities create opportunities for people to use banking services and products.

Promote innovation: It provides opportunity for budding entrepreneurs to build creative products boosting business competition and fuels growth.

Classification of enterprises as micro, small and medium enterprises (in Rs)

Type of Enterprise	2006 Act		2018 Bill
	Manufacturing	Services	All enterprises
	Investment in Plant and Machinery	Investment in Equipment	Annual Turnover
Micro	25 lakh	10 lakh	5 crore
Small	25 lakh to 5 crore	10 lakh to 2 crore	5 to 75 crore
Medium	5 to 10 crore	2 to 5 crore	75 to 250 crore

After 14 years since the MSME Development Act came into existence in 2006, a revision in MSME

definition was announced in the Atmanirbhar Bharat package on 13th May, 2020. As per this announcement, the definition of Micro manufacturing and services units was increased to Rs. 1 Crore of

investment and Rs. 5 Crore of turnover. The limit of small unit was increased to Rs. 10 Crore of investment and Rs 50 Crore of turnover. Similarly, the limit of medium unit was increased to Rs. 20 Crore of investment and Rs. 100 Crore of turnover. The Government of India on 01.06.2020 decided for further upward revision of the MSME Definition. For medium Enterprises, now it will be Rs. 50 Crore of investment and Rs. 250 Crore of turnover.

Government Initiatives for MSMEs

Udyami Mitra Portal: launched by SIDBI to improve accessibility of credit and handholding services to MSMEs.

MSME Sambandh: To monitor the implementation of the public procurement from MSMEs by Central Public Sector Enterprises.

MSME Samadhaan: MSME Delayed Payment Portal — will empower Micro and Small entrepreneurs across the country to directly register their cases relating to delayed payments by Central Ministries/Departments/CPSEs/State Governments.

Digital MSME Scheme: It involves usage of Cloud Computing where MSMEs use the internet to access common as well as tailor-made IT infrastructure

Prime Minister Employment Generation Programme: It is a credit linked subsidy program under Ministry of MSME.

Revamped Scheme of Fund for Regeneration of Traditional Industries (SFURTI): organizes traditional industries and artisans into clusters and make them competitive by enhancing their marketability & equipping them with improved skills.

A Scheme for Promoting Innovation, Rural Industry & Entrepreneurship (ASPIRE): creates new jobs & reduce unemployment, promotes entrepreneurship culture, facilitates innovative business solution etc.

National Manufacturing Competitiveness Programme (NMCP): to develop global competitiveness among Indian MSMEs by improving their processes, designs, technology and market access.

Micro & Small Enterprises Cluster Development Programme (MSE-CDP): adopts cluster development approach for enhancing the productivity and competitiveness as well as capacity building of MSEs.

Credit Linked Capital Subsidy Scheme (CLCSS) is operational for upgradation of technology for MSMEs.

Special Economic Zone

An SEZ is a territory within a country that is typically duty-free (Fiscal Concession) and has different business and commercial laws chiefly to encourage investment and create employment.

SEZs are created also to better administer these areas, thereby increasing the ease of doing business. The Government of India first introduced the concept of SEZ in the export import policy 2000 with a view to provide an internationally competitive and hassle-free environment for exports.

SEZs in India

Asia's first EPZ (Export Processing Zones) was established in 1965 at Kandla, Gujarat. EPZs are similar in structure to SEZs. The Government of India started to establish SEZs in 2000 under the Foreign Trade Policy to redress the infrastructural and bureaucratic challenges that were seen to have limited the success of EPZs.

The Special Economic Zones Act was passed in 2005.

The Special Economic Zone Act 2005

This Act was passed in 2005. The Act came into force along with the SEZ Rules in 2006.

The Act provides the umbrella legal framework, covering all important legal and regulatory aspects for setting up of SEZ's as well units operating in SEZ.

Features of SEZ

- Duty free import/domestic procurement of goods for development, operation and maintenance of SEZ units.
- Exemption from various taxes like Income Tax, minimum alternate tax, etc.
- External commercial borrowing by SEZ units up to US \$ 500 million in a year without any maturity restriction through recognized banking channels.
- Single window clearance for Central and State level approvals.
- The domestic sales from the SEZ are subject to full custom duties and import policy is in force, when
- they sell their produce to domestic markets.

- There was no routine examination by the custom authorities.
- The corporation in SEZs will not have to pay any income tax on their profits for the first five years
- and only 50% of the tax for 2 more years thereafter.
- For SEZ developers, the raw material from cement to steel to electrical parts are subject to zero tax
- and duty.

Objectives of SEZ

- To create additional economic activity.
- To boost the export of goods and services.
- To generate employment.
- To boost domestic and foreign investments.
- To develop infrastructure facilities.
- To attract FDI
- To Introduce new technology

National Investment and Manufacturing Zones (NIMZ)

The main focus of a National Investment & Manufacturing Zone policy is industrial growth through collaboration with local state governments. An enabling policy framework will be created by the Central Authority that will give benefits through the development of infrastructure and State Governments will be encouraged to adopt the instrumentalities provided in the policy.

They are developed as integrated industrial townships with state-of-the art infrastructure and land use on the basis of zoning; clean and energy efficient technology; necessary social infrastructure; skill development facilities, etc., to provide a productive environment to persons transitioning from the primary sector to the secondary and tertiary sectors.

These NIMZs would be managed by SPVs (Special Purpose Vehicles) which would ensure master

planning of the Zone; pre-clearances for setting up the industrial units to be located within the zone

and undertake such other functions as specified in the various sections of this policy.

Benefits of NIMZ

- A job-loss policy will enable units to pay suitable worker compensation in the eventuality of business losses/closures through insurance and thereby eliminate the charge on the assets.
- The developers of NIMZs will be allowed to raise ECBs for developing the internal infrastructure.
- Exemption from capital gains tax.
- The transfer of assets belonging to a firm that has been declared sick will be facilitated by the SPV of the concerned NIMZ.
- Soft loans from multilateral institutions will be explored for funding infrastructure development.
- Skill up-gradation programmes for new employees as well as for the existing employees in coordination with NSDC.

Industrial Corridors

- An industrial corridor is an amalgamation of infrastructure spending allocated to a specific geographical area, with the intent to stimulate industrial development.
- The aim is to create an area with a cluster of manufacturing or other industry.
- In most of the cases, corridors are often created in areas that have pre-existing infrastructure, such as ports, highways and railroads.
- Government has approved the development of the five industrial corridor projects which will be implemented through National Industrial Corridor Development and Implementation Trust (NICDIT).

- NICDIT is an apex body under the administrative control of the Department for Promotion of Industry and Internal Trade

S.No.	Industrial Corridor	States
1.	Delhi Mumbai Industrial Corridor (DMIC)	Uttar Pradesh, Haryana, Rajasthan, Madhya Pradesh, Gujarat, Maharashtra
2.	Amritsar Kolkata Industrial Corridor (AKIC)	Punjab, Haryana, Uttar Pradesh, Uttarakhand, Bihar, Jharkhand, West Bengal
3.	Chennai Bengaluru Industrial Corridor (CBIC)	Andhra Pradesh, Karnataka, Tamil Nadu, Kerala
4.	East Coast Economic Corridor (ECEC) with Vizag Chennai Industrial Corridor (VCIC) as Phase-1	West Bengal, Odisha, Andhra Pradesh, Tamil Nadu
5.	Bengaluru Mumbai Industrial Corridor (BMIC)	Karnataka, Maharashtra

(DPIIT), Ministry of Commerce and Industry for coordinated and unified development of the 5 Industrial Corridors in India.

- Industrial corridors constitute:
 - High-speed transportation network – rail and road
 - Ports with state-of-the-art cargo handling equipment
 - Modern airports
 - Special economic regions/industrial areas
 - Logistic parks/transshipment hubs
 - Knowledge parks focused on catering to industrial needs
 - Complementary infrastructure such as townships/real estate
 - Other urban infrastructure along with enabling policy framework

Dedicated Freight Corridors

It is a high speed and high-capacity railway corridor that is exclusively meant for the transportation of freight, or in other words, goods and commodities.

DFC involves the seamless integration of better infrastructure and state of the art technology.

DFC, currently, is being developed in two phases- Eastern Dedicated Freight Corridor (EDFC), and Western Dedicated Freight Corridor (WDFC).

Eastern Dedicated Freight Corridor (EDFC)

- It starts at Sahnewal (Ludhiana) in Punjab and ends at Dankuni in West Bengal.

- The EDFC route has coal mines, thermal power plants and industrial cities. Feeder routes are also being made for these.
- The EDFC route covers Punjab, Haryana, Uttar Pradesh, Bihar, Jharkhand and West Bengal
- The World Bank is funding a majority of the EDFC.
- The 351-km-long 'New Bhaupur-New Khurja section' will decongest the existing Kanpur-Delhi main line and double the speed of freight trains from 25 kmph to 75 kmph.

Western Dedicated Freight Corridor (WDFC)

- The other arm is the around 1,500-km WDFC from Dadri in Uttar Pradesh to Jawaharlal Nehru Port Trust in Mumbai, touching all major ports along the way.
- The WDFC covers Haryana, Rajasthan, Gujarat, Maharashtra and Uttar Pradesh.
- It is being funded by the Japan International Cooperation Agency.

The Dedicated Freight Corridor Corporation of India (DFCCIL) is a Special Purpose Vehicle set up under the administrative control of Ministry of Railways to undertake planning & development, mobilization of financial resources and construction, maintenance and operation of the Dedicated Freight Corridors.



Ease of Doing Business Report

The EoDBR is published by the World Bank.

The World Bank Publishes this report Every year. The index has been created to evaluate the impact of the economic policies/reforms implemented by the government in the respective countries to promote and make it easier to do business.

This report is published after evaluating the performance of countries under the following 11 parameters (for this year's ranking, the labour market parameter is not considered, hence this year's ranking is based on ten parameters).

Empirical research from government officials, lawyers, business consultants, accountants, other professionals is done in order to collect the data for the performance of these countries.

S.No	Parameters	Description
1	Starting a business	The ease of the procedures to start a new venture along with the time, cost and minimum capital required are also considered
2	Dealing with construction permits	How easy is it to get permission to build a warehouse
3	Getting electricity	The ease of obtaining a permanent connection for electricity in a newly constructed warehouse.
4	Registering property	How easy and uncomplicated is the process of registering commercial real estate
5	Getting credit	The depth of credit information index, as well as strength of legal rights index, is studied
6	Protecting investors	Various indices on the extent of disclosure and ease of shareholder suits are taken into consideration
7	Paying taxes	Studies the number of taxes paid, hours per annum spent on filing tax returns and the total tax payable as a share of gross profit
8	Trading across borders	Includes the process of export and import of products are in the country.
9	Enforcing contracts	It involves studying the time, cost and effort required to enforce a debt contract
10	Resolving insolvency	Checks the time, cost and percentage recovery rate under a bankruptcy proceeding

The first report was published in 2003 (it was called 'Doing Business' report, the ranking of countries started in 2006).

Note: EoDB Report has now been discontinued by the World Bank.

Index of Industrial Production

The Index of Industrial Production (IIP) is an index that shows the growth rates in different industry groups of the economy in a fixed period of time.

It is compiled and published monthly by the Central Statistical Organization (CSO), Ministry of Statistics and Programme Implementation.

IIP is a composite indicator that measures the growth rate of industry groups classified under: Broad sectors, namely, Mining, Manufacturing, and Electricity.

Use-based sectors, namely Basic Goods, Capital Goods, and Intermediate Goods.

Base Year for IIP is 2011-2012.

IIP data is compiled and published by NSO every month. NSO or National Statistical Office operates under the Ministry of Statistics and Programme Implementation (MoSPI).

The eight core industries of India represent about 40% of the weight of items that are included in the IIP.

Significance

IIP is the only measure on the physical volume of production.

It is used by government agencies including the Ministry of Finance, the Reserve Bank of India, etc, for policy-making purposes.

IIP remains extremely relevant for the calculation of the quarterly and advance GDP estimates.

Eight core Industries

1. Coal – Coal Production excluding Coking coal.
2. Crude Oil – Total Crude Oil Production.
3. Natural Gas – Total Natural Gas Production.
4. Refinery Products – Total Refinery Production (in terms of Crude Throughput).
5. Fertilizer – Urea, Ammonium Sulphate (A/S), Calcium Ammonium Nitrate (CAN), Ammonium chloride (A/C), Diammonium Phosphate (DAP), Complex Grade Fertilizer and Single superphosphate (SSP).
6. Steel – Production of Alloy and Non-Alloy Steel only.
7. Cement – Production of Large Plants and Mini Plants.
8. Electricity – Actual Electricity Generation of Thermal, Nuclear, Hydro, imports from Bhutan.

Code on Wages 2019

The Code on Wages, 2019 seeks to consolidate and simplify four pieces of legislation into a single code. These 4 legislations are-

- 1) Payment of Wages Act, 1936.
- 2) Minimum Wages Act, 1948.
- 3) Payment of Bonus Act, 1965.
- 4) Equal Remuneration Act, 1976.

Its object and reasons stated that even the Second National Commission on Labour- 2002 suggested consolidating all labour laws into four codes.

Under the Code, the central government may notify various social security schemes for the benefit of workers. These include an Employees' Provident Fund (EPF) Scheme, an Employees' Pension Scheme (EPS), and an Employees' Deposit Linked Insurance (EDLI) Scheme.

These may provide for a provident fund, a pension fund, and an insurance scheme, respectively.

The Code specifies different applicability thresholds for the schemes. For example, the EPF Scheme will apply to establishments with 20 or more employees.

The EPF, EPS, EDLI, and ESI Schemes will be financed through a combination of contributions from the employer and employee.

For the purpose of schemes for gig and platform workers, the Bill specifies a list of aggregators including ride sharing services and food delivery services. Any contribution from an aggregator may be at a rate notified by the government falling between 1-2% of the annual turnover of the aggregator, subject to a cap of 5% of the amount paid or payable by an aggregator to the gig and platform workers.

The appropriate government may appoint Inspector-cum-facilitators to inspect establishments covered by the Code, and advise employers and employees on compliance with the Code.

Industrial Relations Code 2020

- It seeks to replace three labour laws: (i) the Industrial Disputes Act, 1947, (ii) the Trade Unions Act, 1926, and (iii) the Industrial Employment (Standing Orders) Act, 1946.
- Trade unions: Under the Code, seven or more members of a trade union can apply to register it. Trade unions that have a membership of at least 10% of the workers or 100 workers, whichever is less, will be registered.
- Negotiating unions: The Code provides for a negotiation union in an industrial establishment, having registered trade unions, for negotiating with the employer.
- Unfair labour practices: The Code prohibits employers, workers, and trade unions from committing any unfair labour practices listed in a Schedule to the Code.
- Standing orders: All industrial establishments with at least 300 workers must prepare standing orders on certain matters. These include: (i) classification of workers, (ii) manner of informing workers about hours of work, holidays, paydays, and wage rates, (iii) termination of employment, (iv) suspension for misconduct, and (v) grievance redressal mechanisms for workers.
- Notice of change: Employers must not change the conditions of service in certain matters without giving notice of the proposed changes to the workers being affected, or within 21 days of giving such notice.

Occupational Safety, Health and Working Conditions Code, 2020

The Code consolidates 13 existing Acts regulating health, safety, and working conditions. These include the Factories Act, 1948, the Mines Act, 1952, and the Contract Labour (Regulation and Abolition) Act, 1970.

It seeks to regulate the health and safety conditions of workers in establishments with 10 or more workers, and in all mines and docks.

Exemptions: The appropriate government can exempt any workplace or activity from the Code in case of a public emergency, disaster, or pandemic for up to a year.

Duties of employers: Duties of employers include: (i) providing a workplace that is free from hazards,

(ii) providing free annual health examinations in notified establishments, and (iii) informing relevant

authorities in case any accident at the workplace leads to death or serious bodily injury to any employee.

Work hours: No worker will be required or allowed to work in any establishment for more than eight hours in a day. For overtime work, workers must be paid at twice the rate of daily wages. Leave: Workers cannot be required to work for more than six days a week. Further, they must receive one day of leave for every 20 days of work per year.

Code on Social Security, 2020

It replaces existing nine laws related to social security, including the Employees' Provident Fund Act, 1952, the Maternity Benefit Act, 1961, and the Unorganised Workers' Social Security Act, 2008.

Under the Code, the central government may notify few social security schemes for the benefit of workers. These may include an Employees' Provident Fund (EPF) Scheme, an Employees' Pension Scheme (EPS), and an Employees' Deposit Linked Insurance (EDLI) Scheme.

In addition, the central or state government may notify specific schemes for gig workers, platform workers, and unorganised workers to provide various benefits, such as life and disability cover.

The Code specifies different applicability thresholds for the schemes. For instance, the EPF Scheme will apply to establishments with 20 or more employees. The ESI Scheme will apply to certain establishments with 10 or more employees, and to all establishments which carry out hazardous or life-threatening work notified by the central government.

The Schemes like -EPF, EPS, EDLI, and ESI Schemes will be financed through a combination of contributions from the employer and employee.

The Code asks for the establishment of several bodies to administer the social security schemes.

The government may appoint Inspector-cum-facilitators to inspect establishments covered by the Code, and advise employers and employees on compliance with the Code.

The Code specifies penalties for various offences, such as the failure to pay gratuity, which may be punished with imprisonment of one year.

Note: All these three codes have been passed in both the houses of Parliament. However, the Government is yet to notify these officially.